

MATURING THROUGH CRISES:

MACROECONOMIC ANALYSIS OF INDONESIA IN ASEAN

Through the Lenses of SDG 8: Decent Work and Economic Growth



Key Crises (1995-2024)

Most analyses will be done in respect to these 3 important crises from 1995 to 2024.



1997-1999

Asian Financial Crisis

Triggered by a speculative attack on the THB (Thai Baht) which caused chain reactions across Asia, causing companies to default on their USD-based bonds (Bakrie, Salim).



2008-2009

Global Financial Crisis

Caused by excessive predatory lending for subprime mortgages. The failure of the Collateralized Debt Obligation then triggered the first domino.



2020-2022

COVID-19

An unprecedented event which were caused by a pandemic, which caused the first global synchronized economic halt since The Great Depression.

Insight 1

Indonesia's GDP Across Crises

- 1998 caused heavy GDP contraction, worst in ASEAN (13.1% YoY) and hyperinflation (59% YoY).
- 2008 showed slower GDP growth, but better than other countries.
- 2020 showed GDP contraction, but still one of the best performance in ASEAN.
- Even thru crises, Indonesia managed consistent <10% inflation, proving that we learned from our mistakes, through the independence of Bank Indonesia (by B.J. Habibie) and other liquidity statutory laws.

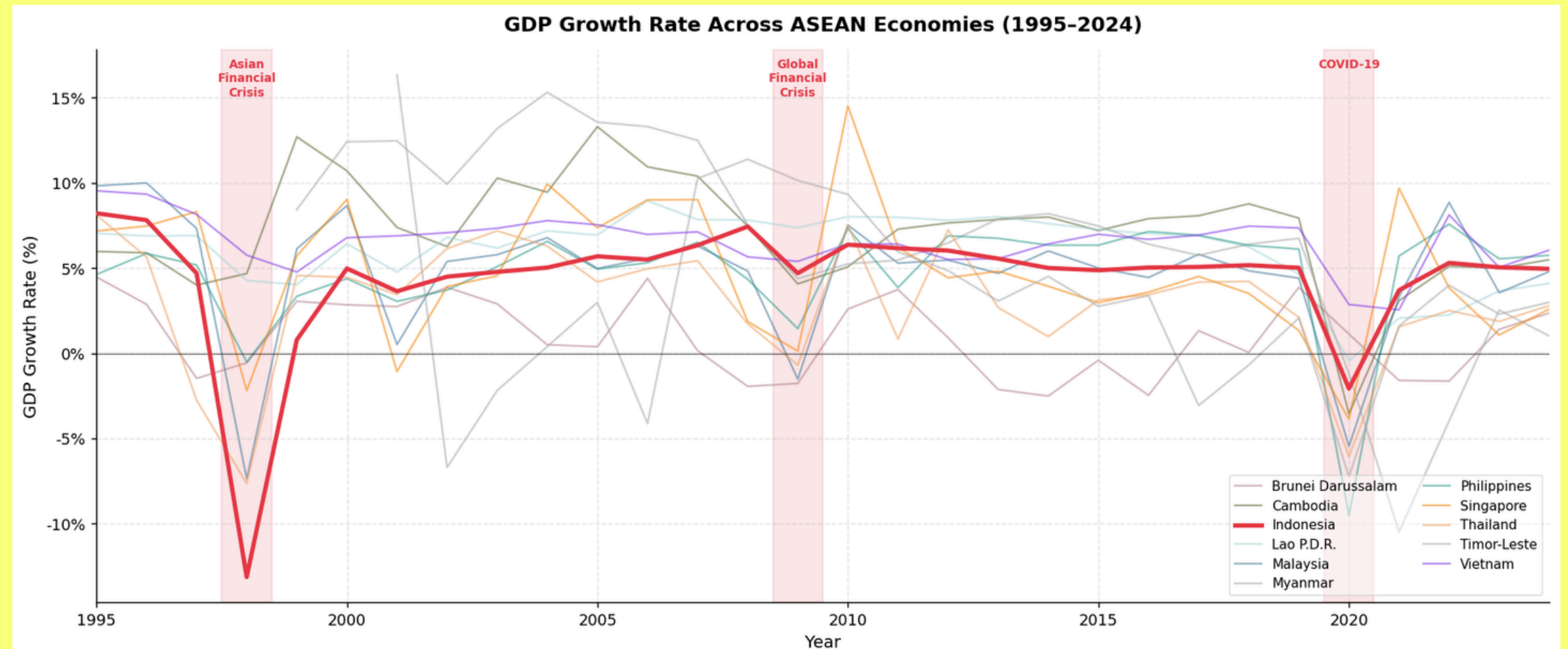


Figure 1.1



Figure 2.1

Government Gross Debt (% of GDP) Across ASEAN (1995-2024)

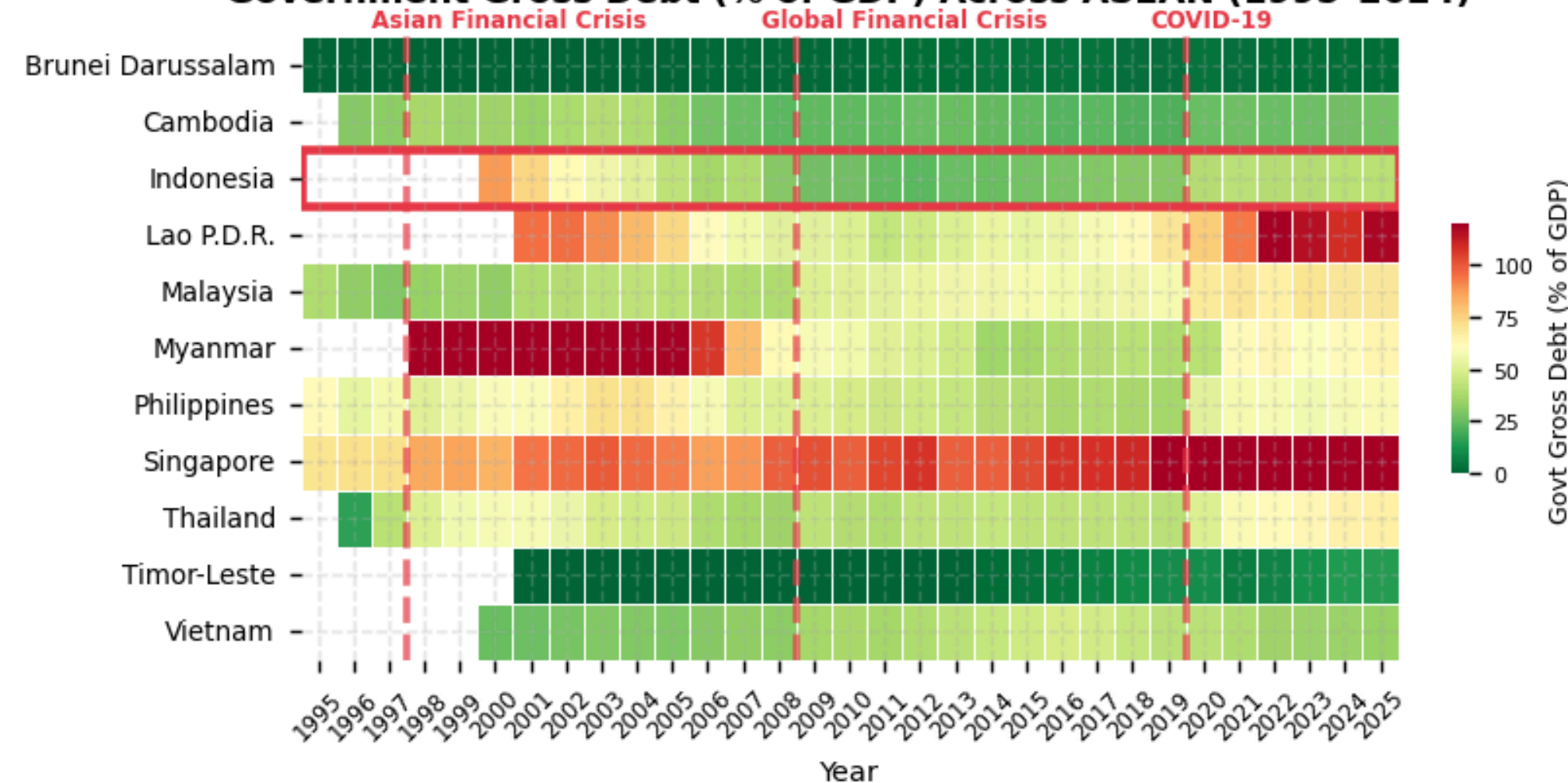


Figure 4.1

Fiscal Balance vs Gross Debt: Singapore vs Indonesia (1995-2024)

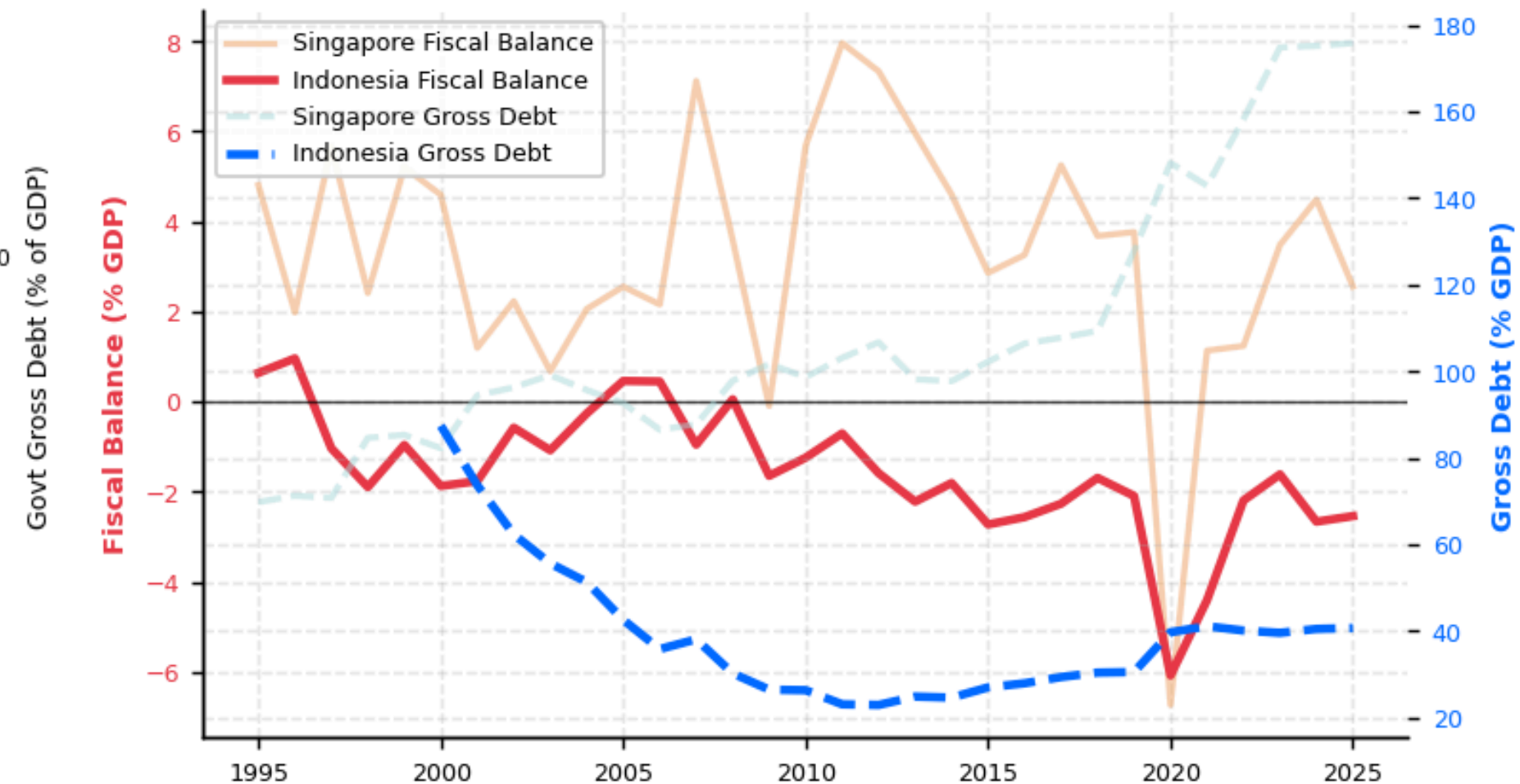


Figure 4.2

Insight 2

Gross Debt Analysis

Indonesia's low Debt-to-GDP ratio

For the last 20 years, even throughout the last 2 crises, Indonesia consistently has a lower Debt-to-GDP ratio.

Indonesia's concerning debt

Despite a low Debt-to-GDP ratio (as opposed to other countries from the previous figure), we use it to finance budget deficits.

What to fix?

Singapore's Debt-to-GDP ratio is high (> 100% GDP) despite budget surplus. They do this to fund investments (via Temasek and GIC) and manage reserves.

Insight 3

Fiscal Balance Analysis

Indonesia: Government Revenue, Expenditure, and Fiscal Balance (1995-2024)

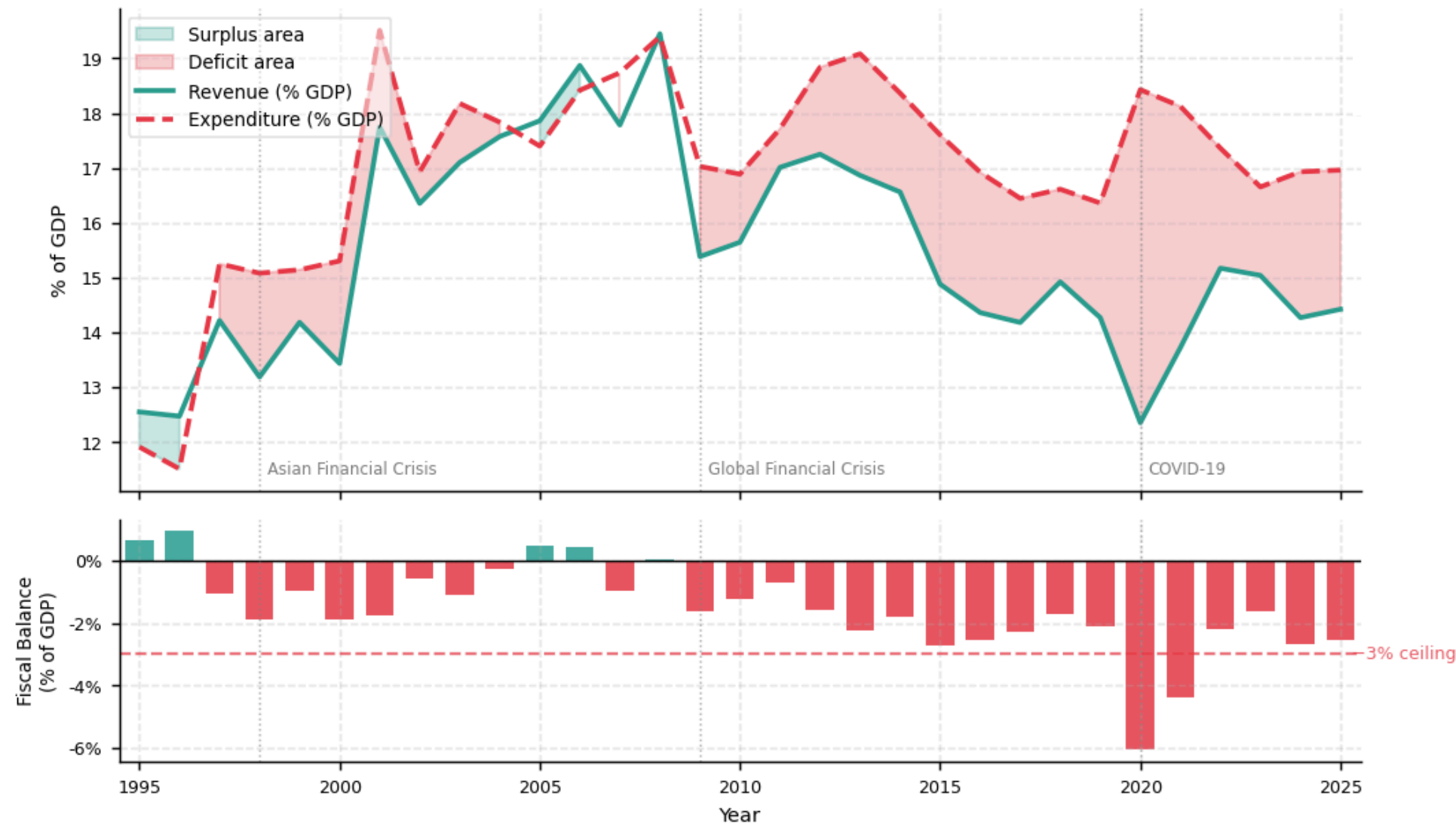


Figure 5.1

Average Government Revenue (% of GDP) in ASEAN (2019-2024)

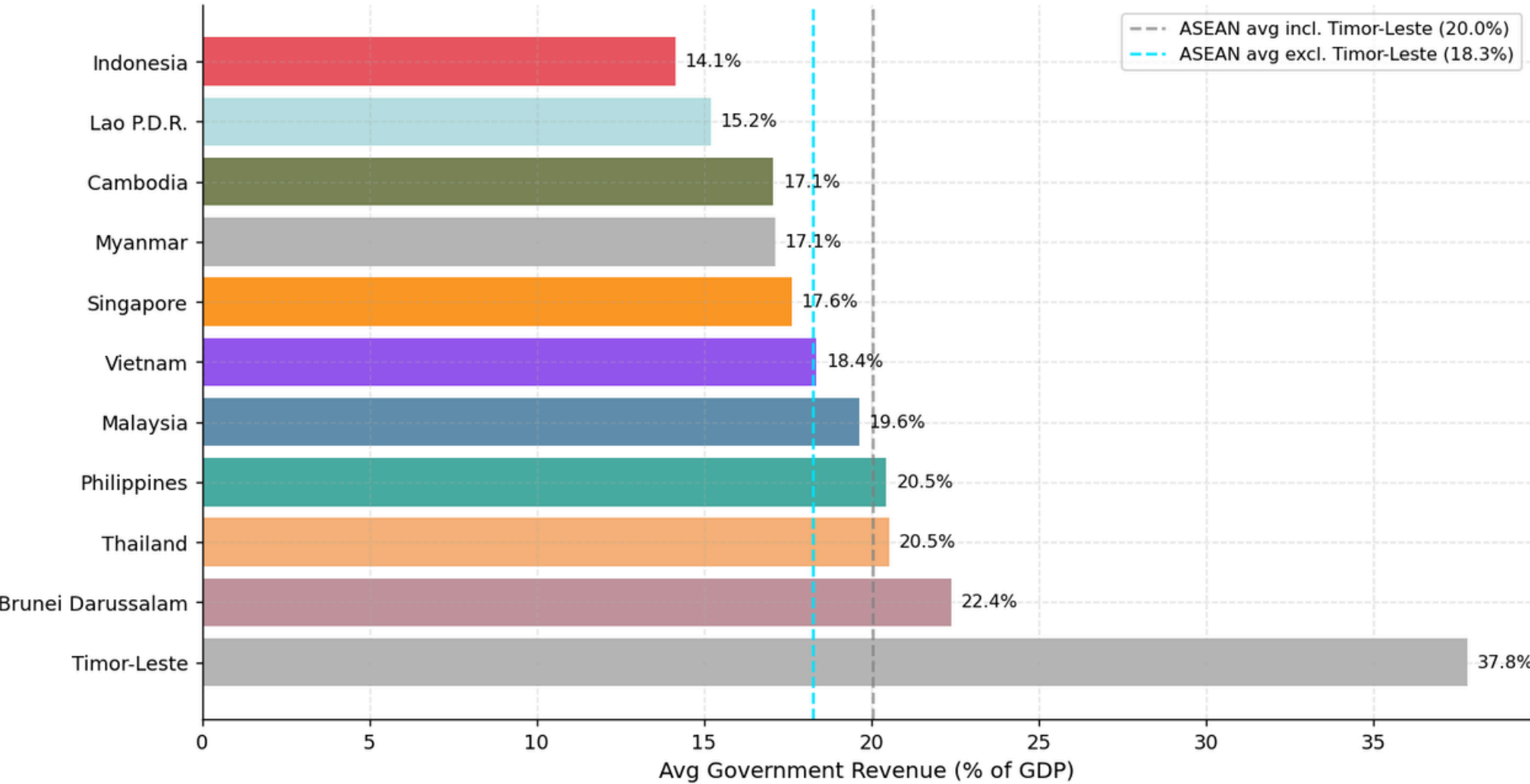


Figure 5.2

Consistent budget deficits

For the last 15 years, Indonesia has recorded consistent budget deficits, although still respecting the 3% statutory deficit ceiling.

Records lowest revenue

Indonesia faces difficulty in tax-collection, proven by figure 5.2. Indonesia records the lowest revenue composition of GDP across ASEAN (14.1%, 420 bps lower than ASEAN's average excl. Timor-Leste)

Insight 4

Investment Efficiency

Despite having a higher investment composition of the GDP than ASEAN’s average (270bps more), Indonesia’s GDP growth rate is lower than ASEAN’s average. This proves that the problem is not in the investment, but rather the efficiency in converting capital to productive output.

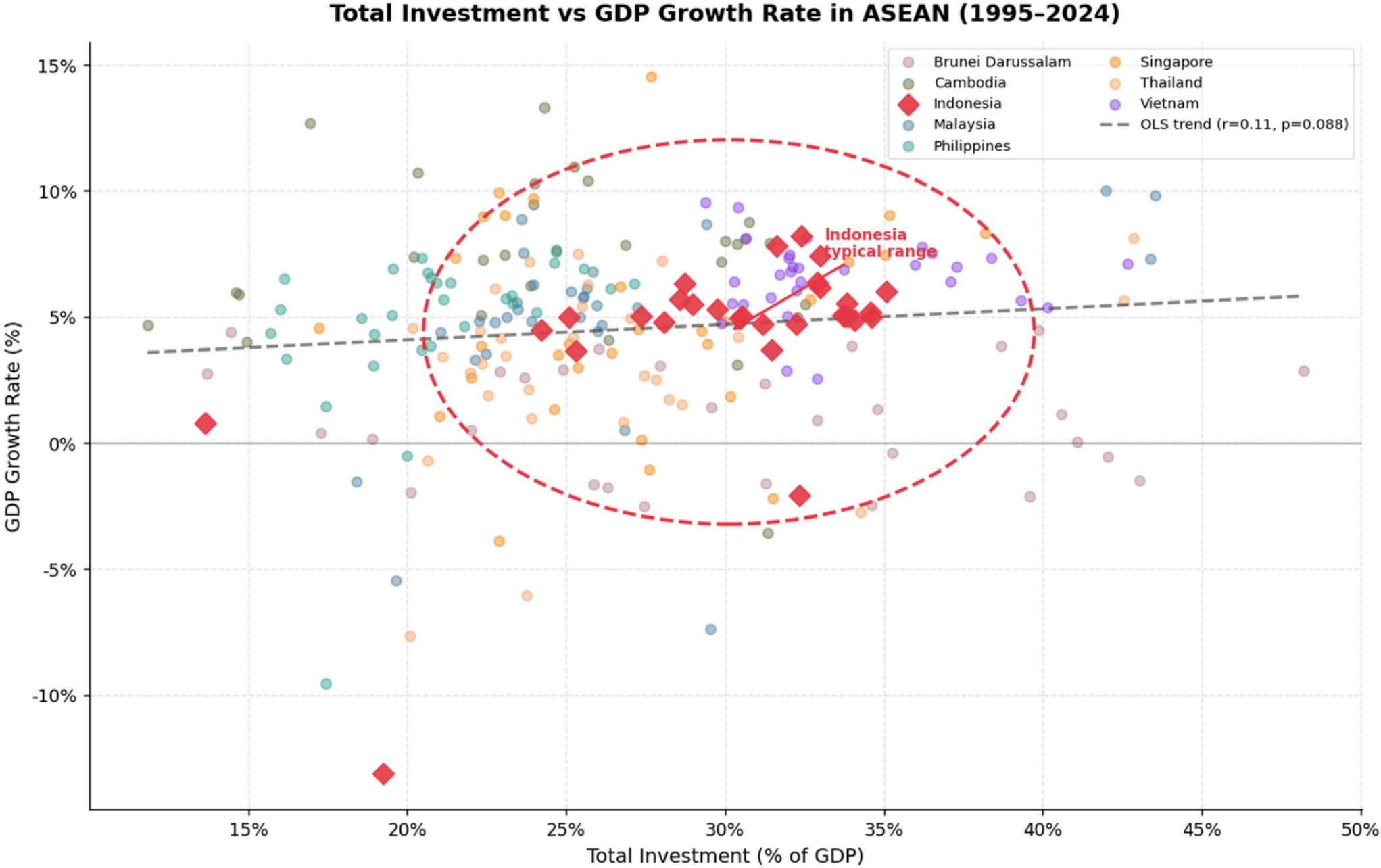


Figure 6.1

ASEAN Ranking: Investment, GDP Growth, and Efficiency (1995-2024)

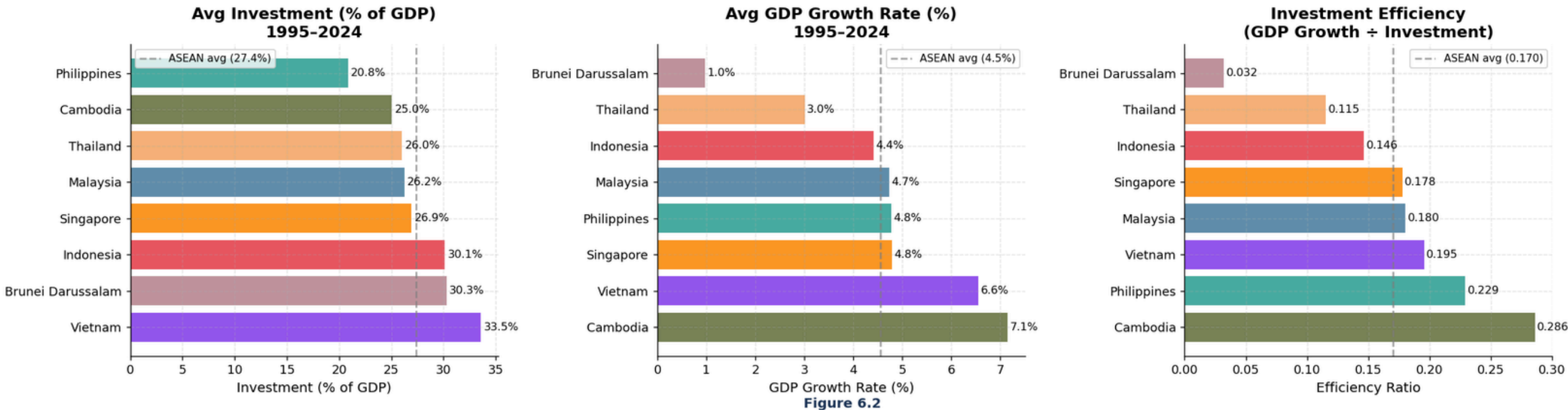


Figure 6.2

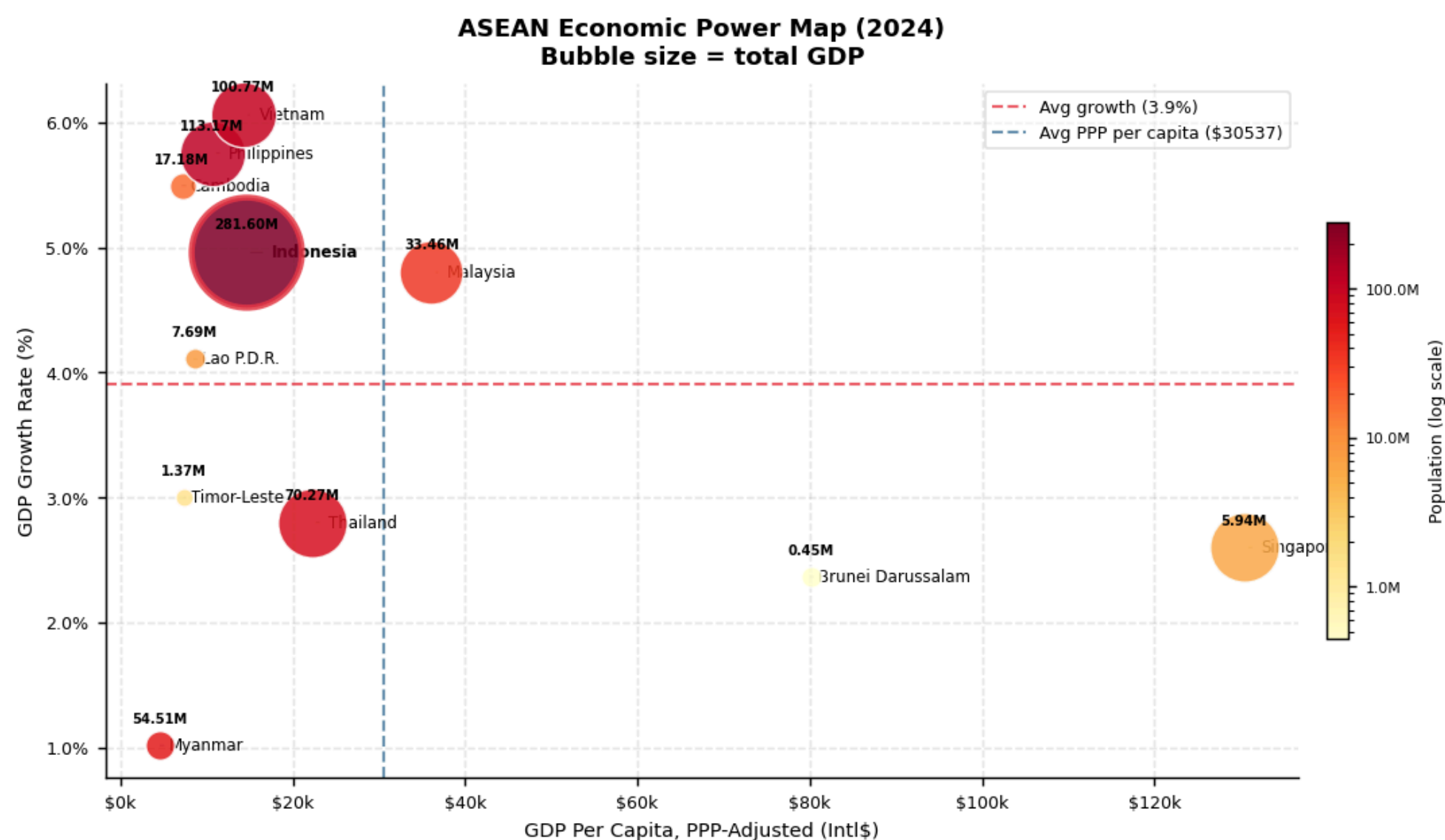


Figure 7.1

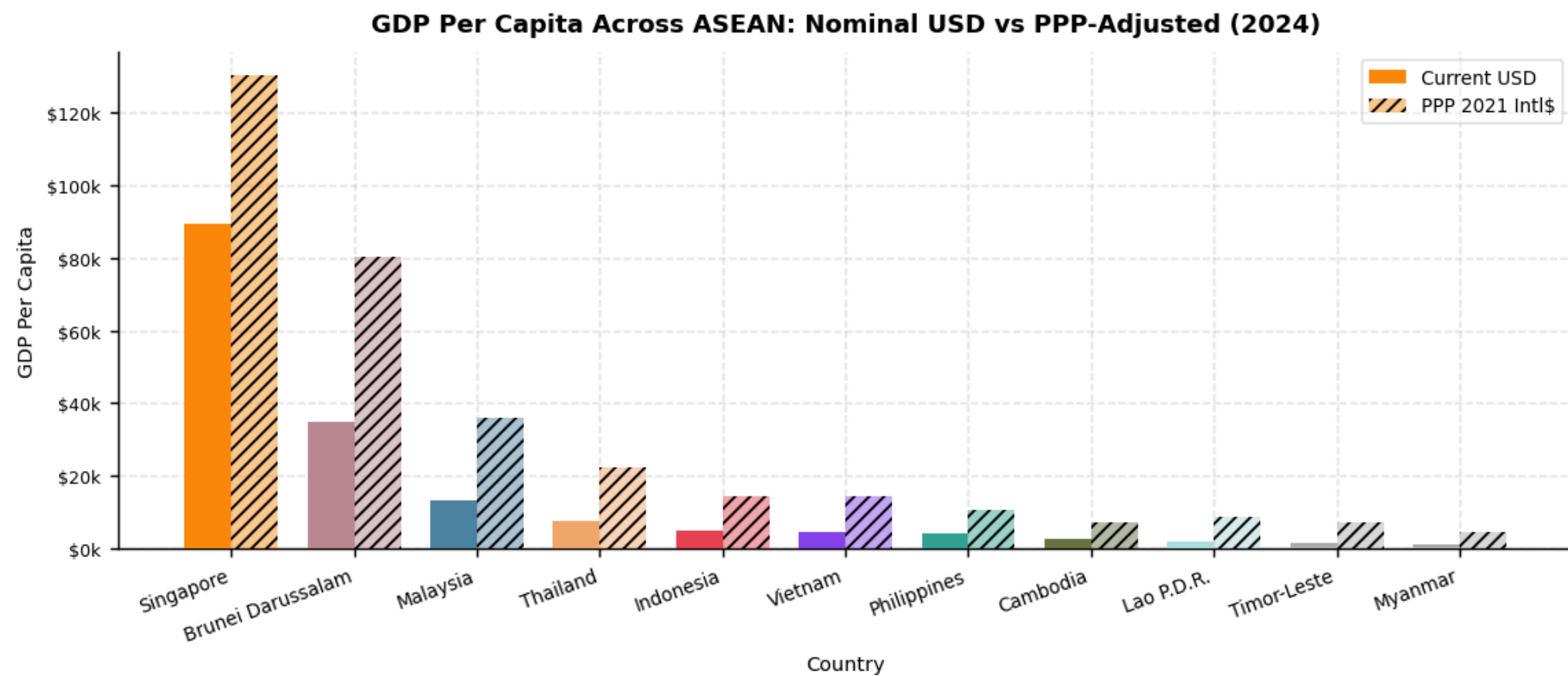


Figure 3.1

Insight 5

Economic Size

Indonesia's GDP is the largest in ASEAN (1.37 Trillion USD), yet its PPP per capita is lower than ASEAN's average, caused by its massive population. Note that this is more likely to happen to developing countries & emerging markets. Despite our low GDP per capita (~\$5k), the PPP-adjusted value triples it (~\$15k), which means that our purchasing power is higher than nominal value suggests,